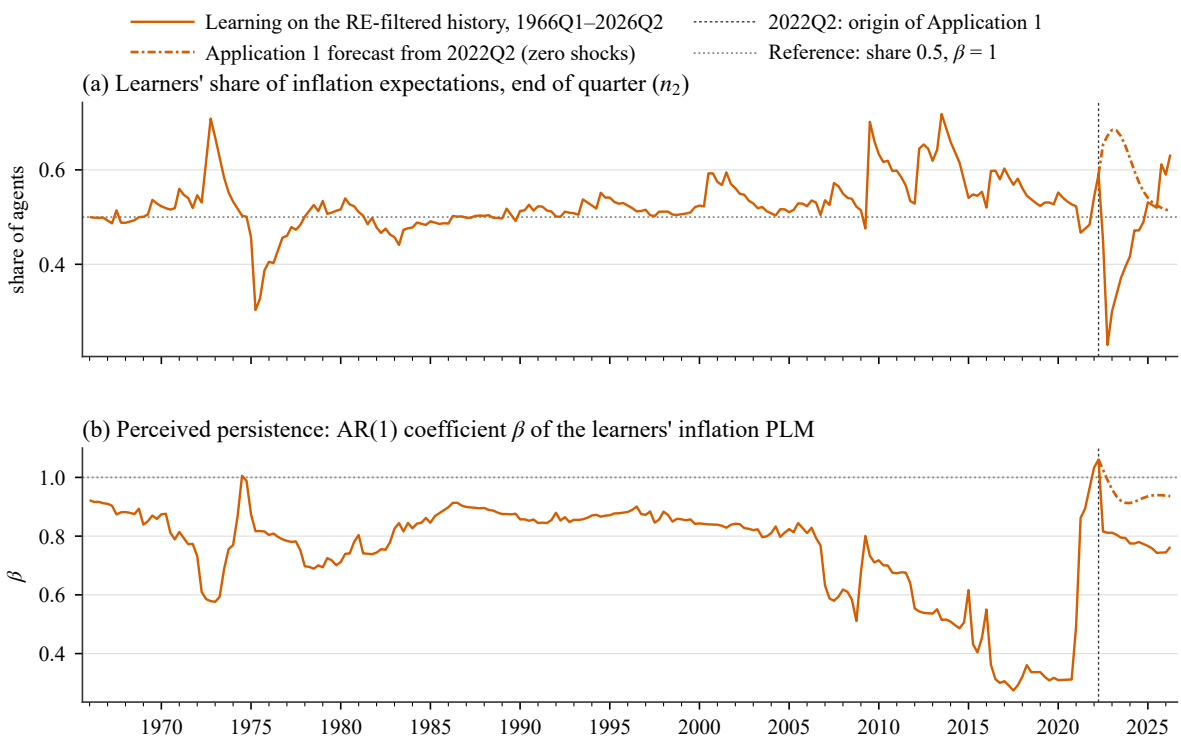
Learning on the RE-filtered history, 1966Q1–2026Q2
Application 1 forecast from 2022Q2 (zero shocks)
2022Q2: origin of Application 1
Reference: share 0.5, β = 1
(a) Learners' share of inflation expectations, end of quarter (n2)
share of agents
0.6
0.4
(b) Perceived persistence: AR(1) coefficient β of the learners' inflation PLM
β
1.0
0.8
0.6
0.4
1970
1975
1980
1985
1990
1995
2000
2005
2010
2015
2020
2025